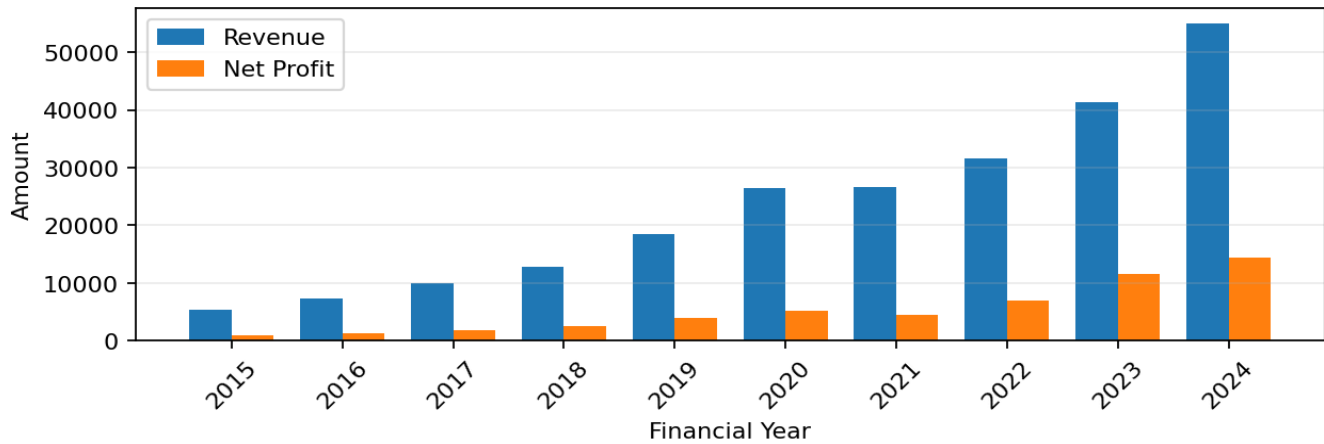


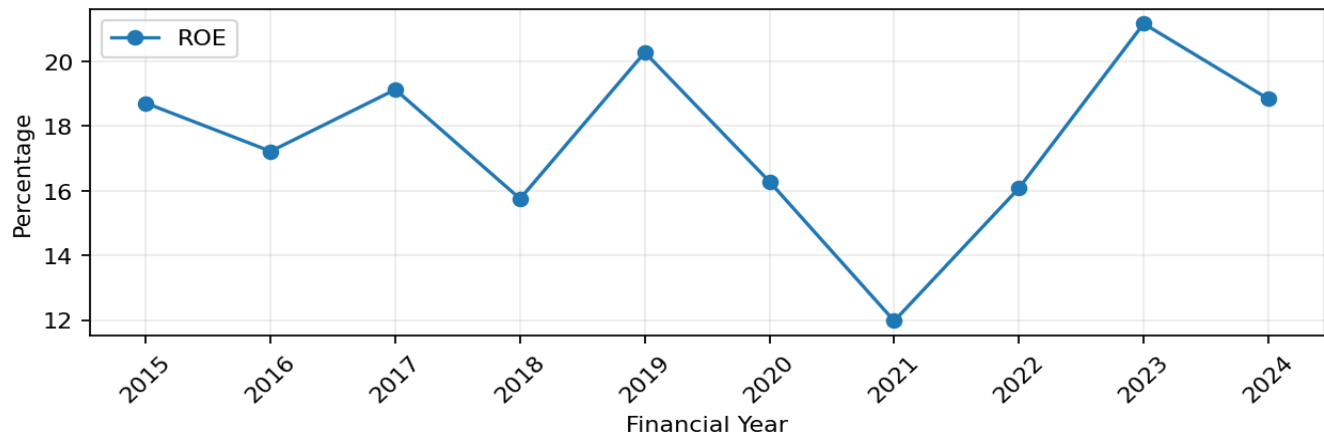
Bajaj Finance Ltd (BAJFINANCE)

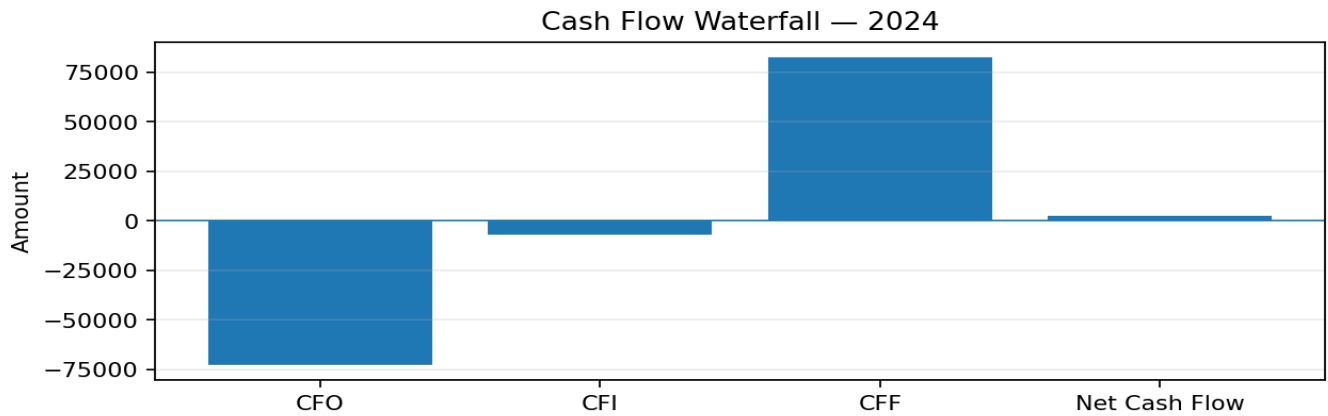
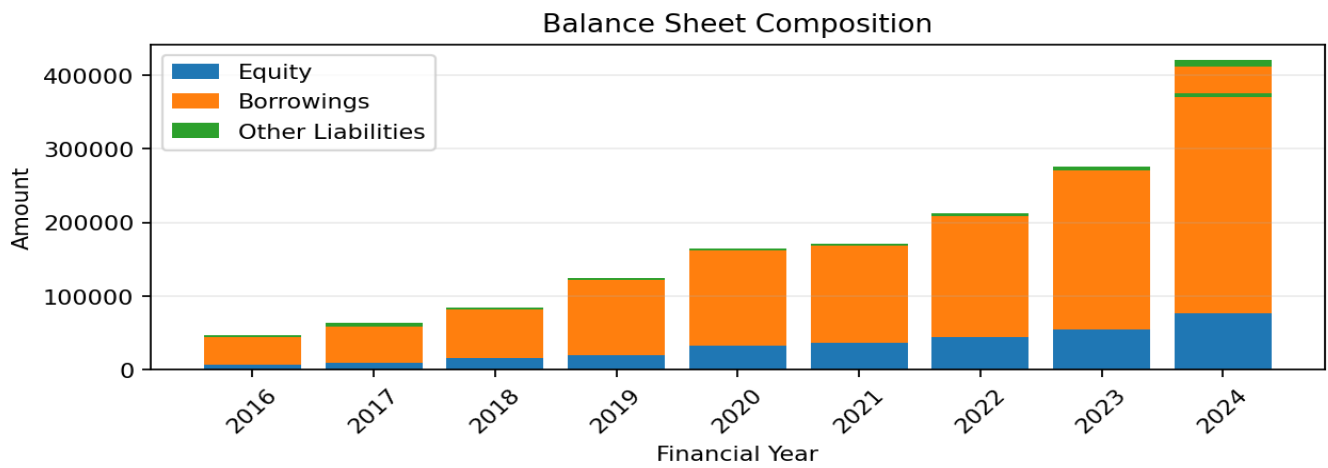
Revenue CAGR 18.7%	PAT CAGR 23.9%	ROE 18.8%
ROCE 11.9%	Debt/Equity 3.82	FCF Conversion -463.1%

10-Year Revenue and Net Profit



ROE Trend





Capital Allocation: Distress Signal

Pros

- Very high interest coverage or a debt-free position reflects negligible financial stress from debt servicing.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Cons

- Net debt of approximately 14.87 times EBITDA represents high leverage and limits financial flexibility.
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality.